UNIT 3 · DECISIONS UNDER STOCHASTIC PREMIUM

Project Proposal Workshop

Session 14 · Proposal feedback · Refining your topic

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Primary Text: Liquidity Illusion (Forthcoming, 2026)

Graduate Finance Course · Spring 2027 · Session 14 of 32

What we'll cover today

1. **Course-wide proposal review**
   Common patterns and concerns
2. **Track 1 templates**
   Asset-class deep-dive structure
3. **Track 2 templates**
   Research-paper structure
4. **Peer review exercise**
   Read 2 proposals, give written feedback
5. **Office hours sign-up**
   Individual proposal consultations

What we expect in your proposal (due tonight)

5-7 pages. Structure varies by track:

TRACK 1 (Practitioner)

1. Asset class chosen
Buyout / VC / Infra / RE / Private Credit

2. Empirical motivation
Why this asset class for GE-LAV?

3. Data sources
Bloomberg, S&P Cap IQ, Preqin, Pitchbook

4. Methodology plan
Which GE-LAV formulas to apply

5. Hypothesis
What you expect to find

6. Deliverable
IC memo, allocation guide, or regulatory analysis

TRACK 2 (Researcher)

1. Research question
Specific, falsifiable hypothesis

2. Literature positioning
Connection to existing PE/asset-pricing theory

3. Theoretical extension
How you extend GE-LAV

4. Math approach
Stochastic calculus / numerical / both

5. Expected contribution
Lemma, theorem, or empirical calibration

6. Deliverable
Research paper format (intro, model, results)

Deadline: 11:59 PM tonight. Submit via course site.

Common pitfalls — avoid these

Too broad	'I will study PE valuation' — narrow to specific asset class, vintage, or question.
No GE-LAV connection	Proposal must engage with GE-LAV concepts (OU process, term structure, etc.) — not just describe the asset class.
No deliverable	Must end with a clear product: IC memo, allocation table, derivation, or paper section.
Track mismatch	T1 students proposing theoretical extensions, T2 students proposing pure case analysis. Choose accordingly.
Unrealistic data needs	Don't require proprietary GP data you don't have. Use Preqin, Bloomberg, public secondary data.

Peer review exercise (in-class, 25 min)

You'll be paired with another student. Exchange proposal drafts. Give written feedback.

Three feedback questions:

Q1 **Is the GE-LAV connection clear?**

Specifically: which GE-LAV concept (OU process, term structure, hedge demand, etc.) does this proposal engage with? Could the reader explain it?

Q2 **Is the deliverable concrete?**

Will the final paper contain a specific result the reader can cite or use? IC memo, derivation, allocation table, etc.

Q3 **What's the biggest risk?**

Data access? Mathematical difficulty? Scope creep? Suggest one concrete way to mitigate.

Session 14 summary

What we accomplished today

1. Proposal due tonight: 5-7 pages, track-specific structure
2. Five common pitfalls to avoid; biggest is 'too broad'
3. Peer review exercise: three structured feedback questions
4. Office hours sign-up sheet at end of class

Next session

Session 15: Sensitivity analysis — when GE-LAV's predictions are robust and when they're sensitive